December 16, 2025 04:03 PM GMT

Reliance Industries | Asia Pacific

Monetisation 4.0

WHAT'S CHANGED		
Reliance Industries (RELI.NS)	From	To
Price Target	Rs1,701.00	**Rs1,847.00**

Three building blocks, US$50bn in value creation, and catalysts each quarter make us more bullish for 2026. Own this fourth monetization cycle as all verticals turn FCF-positive and RIL changes its spots, redeploying capital on new growth frontiers.

Since Covid, RIL has invested >US$80bn – all of it should start to bear fruit from 2026: This is RIL's fourth monetisation cycle in 30 years – with energy, consumer, and telecom investments all turning FCF-positive for the first time (Exhibit 1) – key to a re-rating, in our view. RIL outperformed the Sensex by ~35ppt in the last two monetization cycles, 2017-2019 and 2020-2021. It is redeploying FCF on new growth frontiers – AI infrastructure, energy storage, and polysilicon. The balance sheet delevers as spectrum and creditor liabilities unwind (Exhibit 8). We raise our EBITDA and EPS estimates 1-4% for F26-F28, roll valuation forward one year, and raise our EV valuation for all verticals to reflect this shift in cash flow quality.

We expect a re-rating and earnings upgrades to be triggered in every quarter in 2026 – the refining up-cycle in 1Q26, an ARPU hike and retail top-line growth in 2Q26, ramp-up of new energy in 3Q26, and a recovery in chemicals confidence by 4Q26. Underwriting of RIL's AI data center capacity by US hyperscalers should increase confidence in NAV accretion from AI investment.

The cash-flow boost – refining and telecom: Fuel refining is RIL's most underappreciated vertical, offering the highest returns, significant free cash flows, and growth via retail fuel expansion. We are seeing a "golden age"' for refining, creating US$7-10bn in NAV (Exhibit 2). RIL's fuel refining margins are tracking near US$14/bbl (including fuel retail) – i.e., ~1.5x above mid-cycle levels as this golden age rolls on into its fourth year in 2026. Globally, diesel margins have rallied 30%+ as underinvestment in new global refining capacity combines with disruptions in existing infrastructure, which have become more frequent in the past few years. We see 5-7% upside risk to RIL's F27e-F28e earnings as new fuel refining capacity adds lag 0.7-0.9mbpd annual global consumption growth by more than half. *Telecom* should add a further boost to FCF as ARPU rises at a 9% CAGR in F26e-F28e, broadband subscriber numbers outperform, and Gemini 3 AI offering supports subscriber switch from 4G to higher-priced 5G, while capital intensity halves.

Existing verticals priced in – why are we positive? RIL is pricing in mid-cycle earnings for current verticals, yet the monetisation cycle and capital redeployment into new growth engines remain underappreciated, as reflected in 60%+ discount to peer multiples weighted by NAV of each division (Exhibit 3). Key themes – global fuel refining's golden age, changing face of power markets, anti-involution for chemicals and retail/telecom verticals – add up to US$50bn+ in NAV. See Exhibit 2 .

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Reliance Industries (RELI.NS, RIL IS)

Top Pick

India Oil & Gas | India

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	Rs1,847
Up/downside to price target (%)	20
Shr price, close (Dec 16, 2025)	Rs1,542
52-Week Range	Rs1,581-1,115
Sh out, dil, curr (mn)	13,532
Mkt cap, curr (mn)	US$229,934
EV, curr (mn)	US$248,120
Avg daily trading value (mn)	US$174

Fiscal Year Ending	03/25	03/26e	03/27e	03/28e
EPS (Rs)**	51.47	54.07	64.32	71.85
Prior EPS (Rs)**	-	53.51	62.12	70.35
Revenue, net (Rs bn)	9,647	7,502	8,175	9,158
EBITDA (Rs bn)	1,652	1,854	2,200	2,472
ModelWare net inc (Rs bn)	696	732	870	972
P/E	24.8	28.5	24.0	21.5
P/BV	2.0	2.3	2.1	1.9
RNOA (%)	9.1	9.3	10.6	11.0
ROE (%)	8.8	8.7	9.5	9.8
EV/EBITDA	11.4	12.1	10.2	9.0
Div yld (%)	0.4	0.4	0.4	0.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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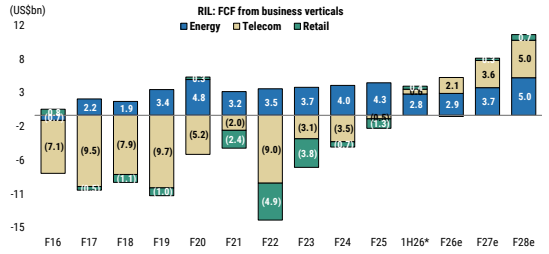
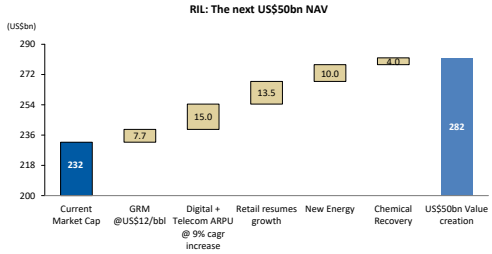
RIL: US$50bn Value Creation in Charts

Exhibit 1: RIL: FCF inflection in all existing verticals for the first time



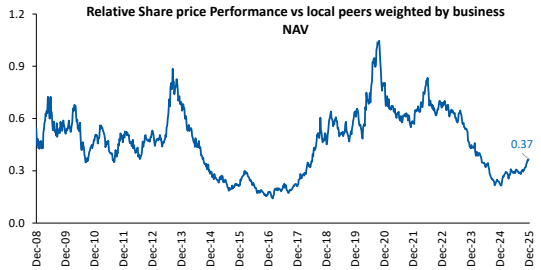
Source: Company data, Morgan Stanley Research (e) estimates. *1H26: annualised 1H26.

Exhibit 2: RIL: the bridge to the next US$50bn in market cap



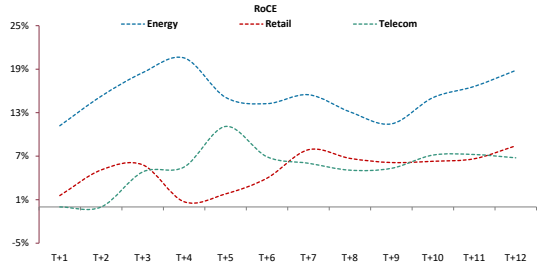
Source: Morgan Stanley Research estimates

Exhibit 3: RIL has outperformed the market in 2025, but we see further catch-up vs its domestic peers



Source: Refinitiv, Morgan Stanley Research. Note: Relative peers includes HPCL, ONGC, Trent, Avenue Supermarts and Airtel.

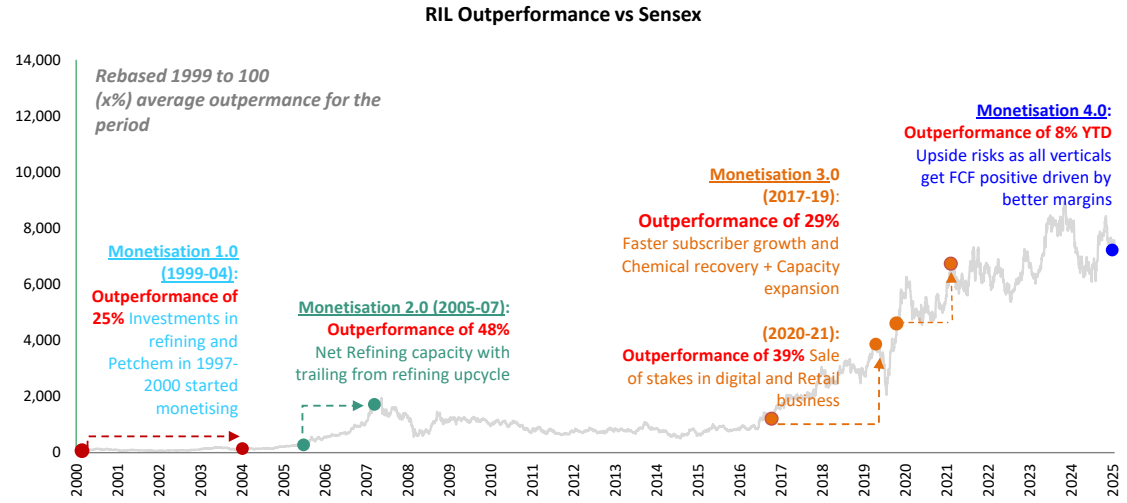
Exhibit 4: RIL: ROCE profile of businesses as they evolve over 12-year cycles



Source: Refinitiv, Morgan Stanley Research

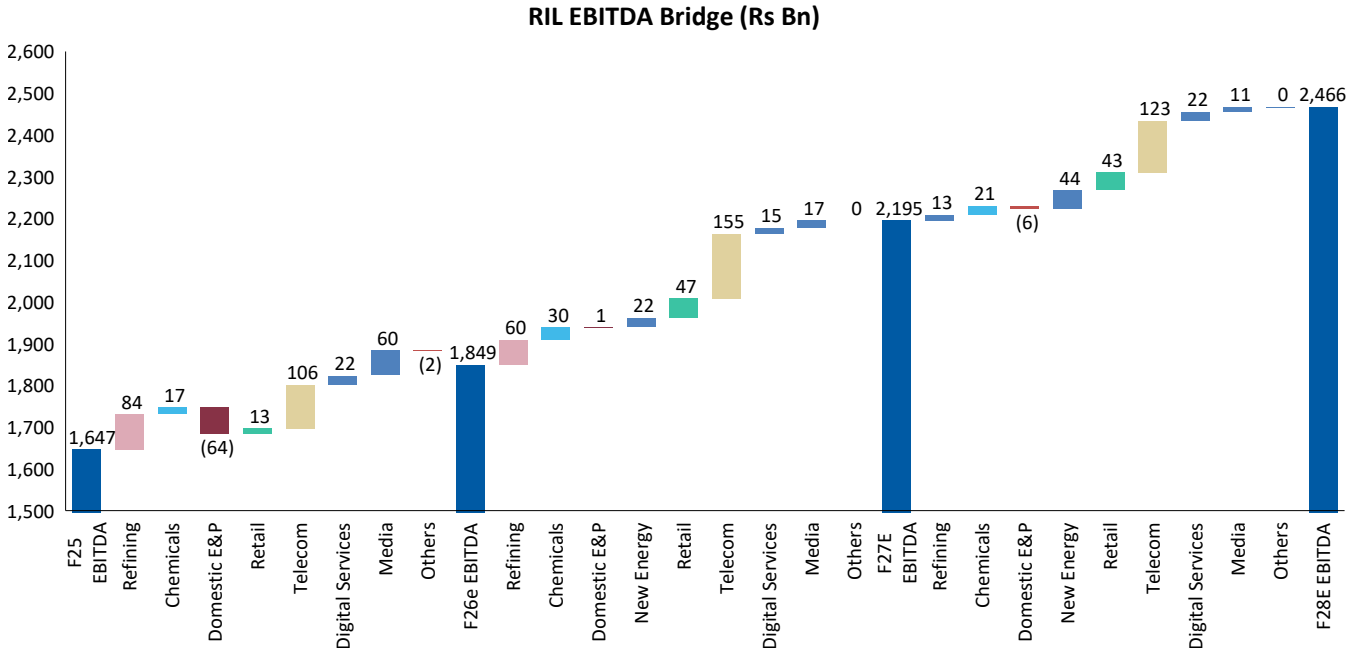
Exhibit 5:

Monetisation cycles has led RIL's historical outperformance vs. the local benchmark; Monetisation 4.0 has begin, we expect RIL to re-rate as all business verticals drive incremental margins



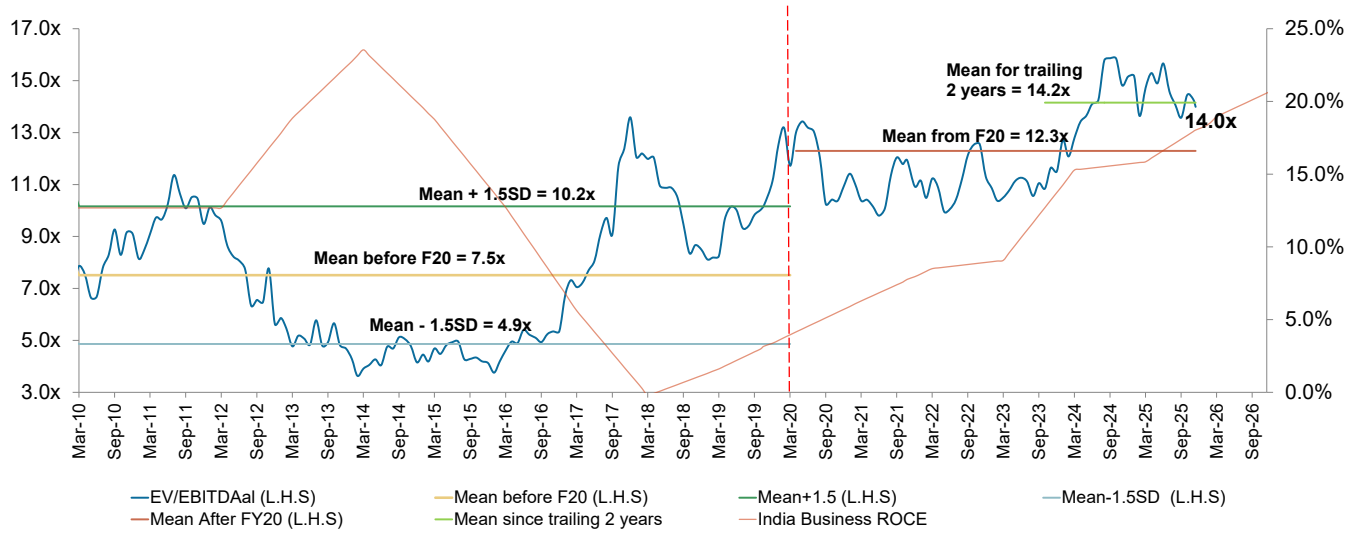
Source: Refintiv, Morgan Stanley Research

Exhibit 6: We expect a 14% CAGR for RIL's EBITDA and a 12% CAGR for EPS, with all businesses chipping in



Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 7: Airtel India core business re-rated as returns and FCF improved



Source: Factset, company data, Morgan Stanley Research. Last price as of 12th Dec-25. Note: For EV calculations, reported net debt exc lease liabilities and like for like forecasts have been used. India business ROCE is calculated as EBIT divided by average capital employed for the year; capital employed is calculated as total assets less current liabilities. Bharti Airtel India Business is on a reported basis and inclusive of passive infrastructure business.

Monetisation 4.0: In Perspective

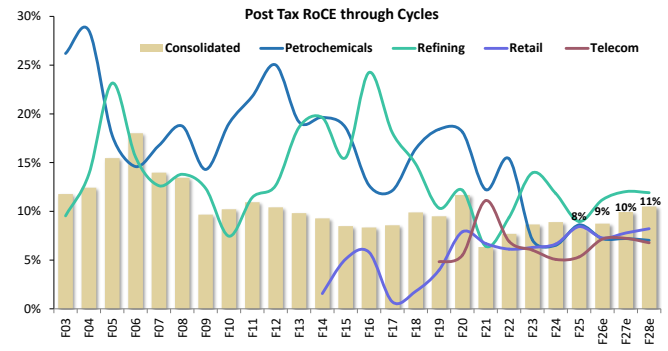
RIL is in its fourth monetisation cycle over the past 30 years. It is monetising its US$80bn of investments across all verticals while investing in the industries of tomorrow. As seen in 2017 and 2021, we believe the stock is set for multiple and return expansion in this fourth monetisation cycle. As highlighted in our prior report – RIL: The 4th Investment Cycle: Re-imagining Again, – the cycles for investment and monetisation are now getting shorter, and we see 2026 as the year of inflection in FCF of RIL's existing verticals. It is important to note that we do not see this inflection in FCF for RIL on a consolidated basis – we expect the company to deploy FCF from existing verticals into AI infrastructure, battery supply chain, and solar panel supply chains.

Retail – turning the corner: RIL's consumer brand business has quickly scaled to a level near that of peers like ITC's FMCG business in about three years of operation, with 75%+ of trade from general merchandise (Exhibit 10). RIL's consumer brands business has a wide range of SKUs, spanning food and non-food categories. We expect the FMCG business to be margin- and ROCE- accretive for RIL Retail as it scales up. Quick Commerce (via Jiomart, which grew 42% QoQ in the September 2025 quarter, and leverages the current retail footprint and new dark stores to scale operations in "under 30 minutes delivery." Ramp-up in consumer brands and quick hypermarket business should further support a move in RIL's retail growth back to a 17% CAGR in F25-28e.

Digital and telecom – turning into a cash cow: RIL's telecom vertical is turning FCF-positive for the first time as investments slow, subscribers (both broadband and wireless) grow faster than the industry, and ARPU increases organically despite no tariff hikes in the past two years. Bharti Airtel, its domestic peer, enjoyed ~20% multiple expansion (from December 2023 to December 2025) in its one-year forward Indian business (ex passive infrastructure) EV/EBITDA, as it moved into FCF mode with improving ROCE greater than WACC. We expect RIL to show a similar inflection as Jio Platform achieves a 9% CAGR in ARPU, leading to 18% growth in EBITDA and earnings . However, telecom ROCE remains near 7% (Exhibit 8), with its spectrum assets and digital assets still in the early stages of monetisation. Digital EBITDA, however, has grown 1.5x based on 1HF26 run rate(US $0.6bn).

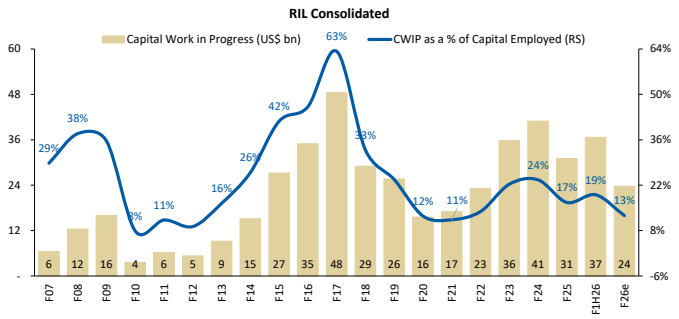
Chemicals – anti-involution in China and beyond is a positive: China's anti-involution drive marks the bottom of the petrochemical cycle, in our view, as new capacity has slowed, and 5-10% of older chemical capacity in China gets shut down (Chemicals: Anti-Involution: China, Korea and Pushbacks). More importantly, involution outside of China is leading industry margins to find a bottom, as 15mntpa of olefin capacity is no longer operational in 2025. RIL's margins have decreased by more than a third in this chemical down-cycle, but we see upside risk to Street estimates as margins rise 10-15% by end-2026. RIL is also improving its margins by increasing cheap US ethane feedstock imports by 50% and expanding PVC capacity in the undersupplied Indian market.

Exhibit 8: RIL: Returns to rise across verticals as capex intensity shifts to new verticals



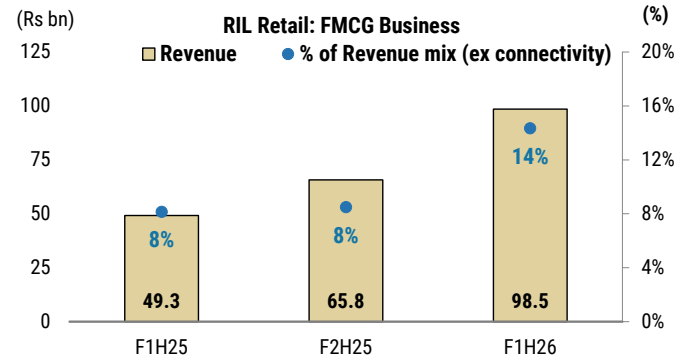
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 9: As more of CWIP gets into operational mode, margins will improve



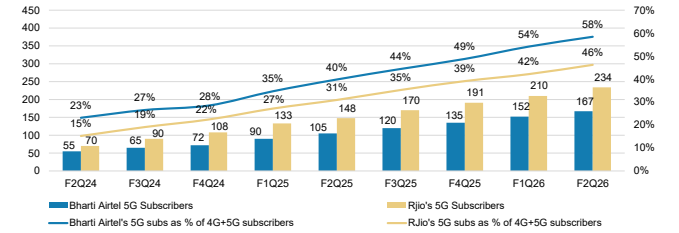
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 10: FMCG : FMCG business has scaled up well since the launch, poised to double from F25



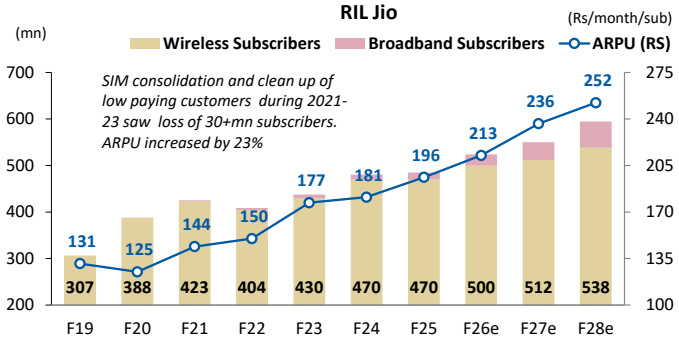
Source: Company data, Morgan Stanley Research

Exhibit 11: Pace of 5G penetration for Bharti Airtel and Reliance Jio



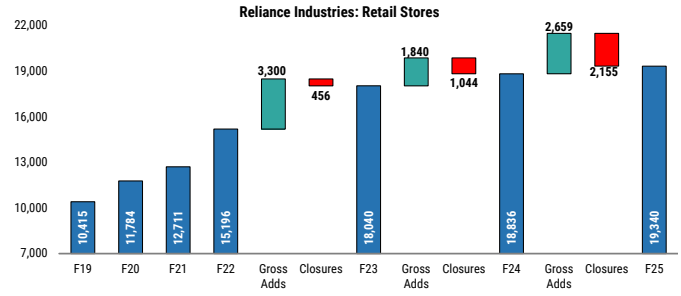
Source: Company data, Morgan Stanley Research estimates

Exhibit 12: We expect quality of subscribers and higher value of offerings to drive ARPU



Source: Company data, Morgan Stanley Research (e) estimates

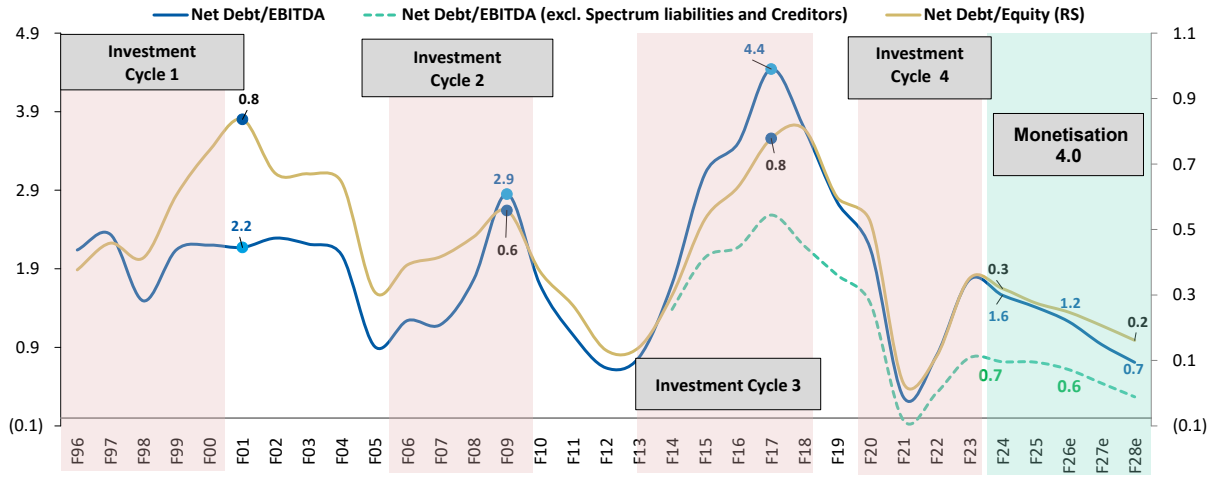
Exhibit 13: Store rationalisation weighed on RIL's retail growth over the last few quarters



Source: Company data, Morgan Stanley Research

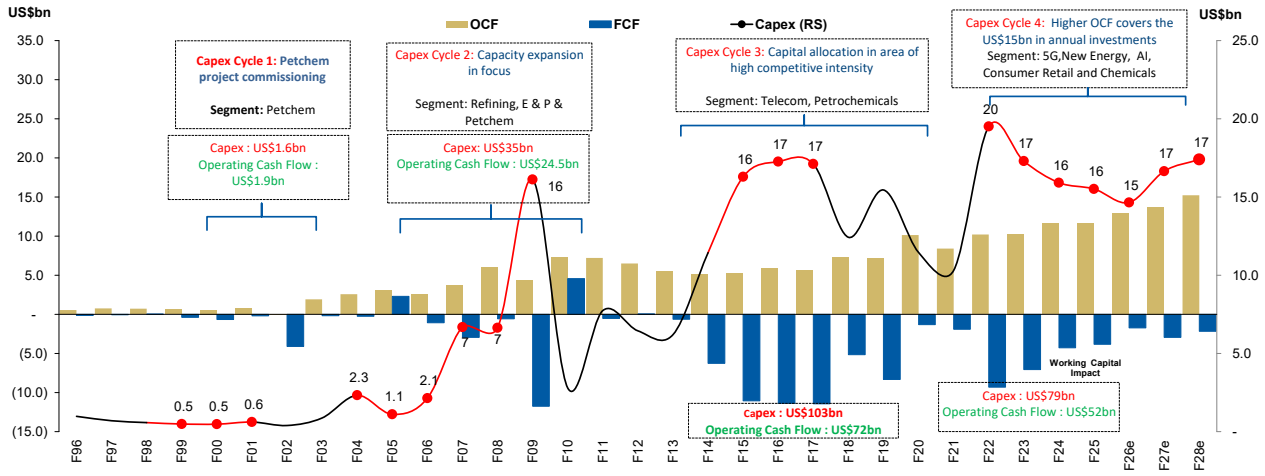
Monetisation Cycle 4.0

Exhibit 14: Healthy cash flow generation will drive incremental ROCE up 200+bps, to ~11% by F28e, while net leverage declines



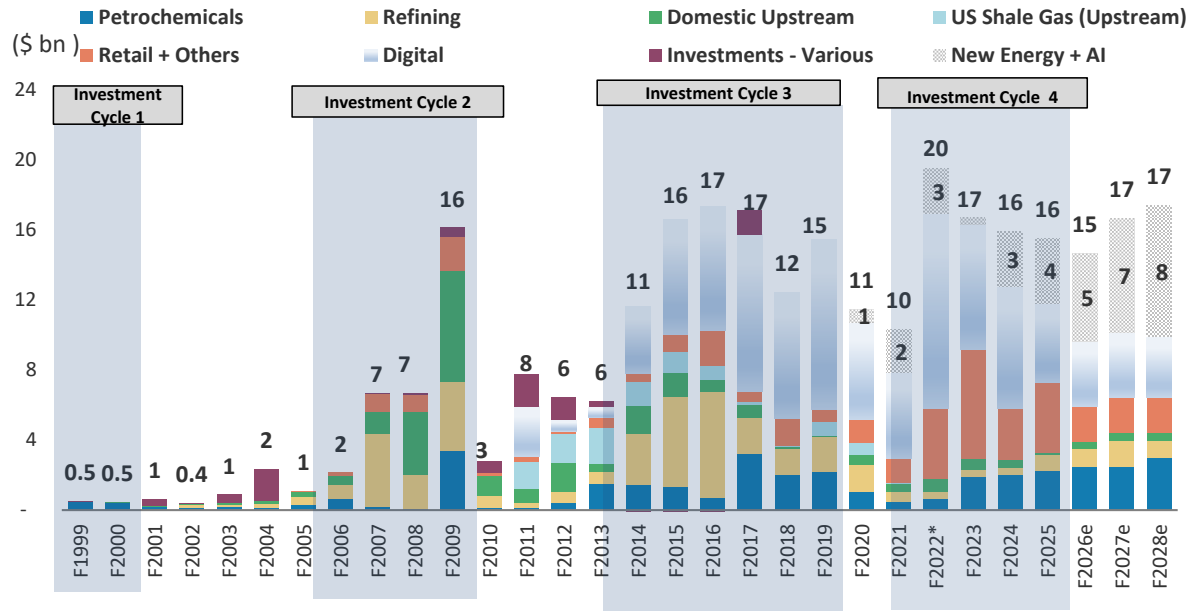
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 15: Monestiation 4.0 will see continued investments in new verticals as existing verticals turn FCF-positive



Source: Company data, Morgan Stanley Research (e) estimates

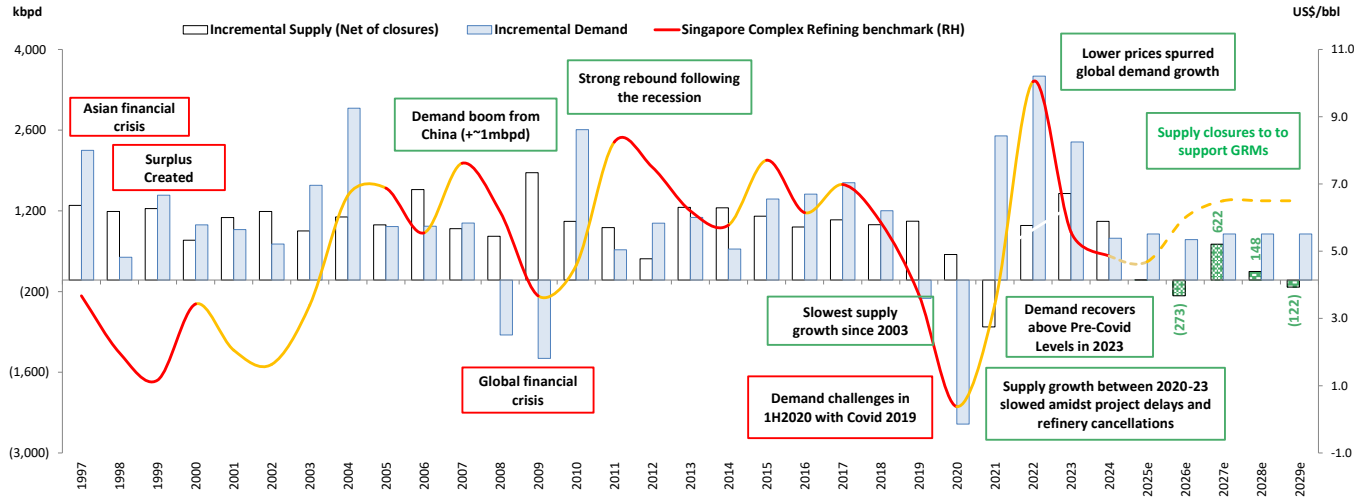
Exhibit 16: The capital investments are moving to AI Infrastructure, New Energy, and Chemicals



Source: Company data, Morgan Stanley Research (e) estimates

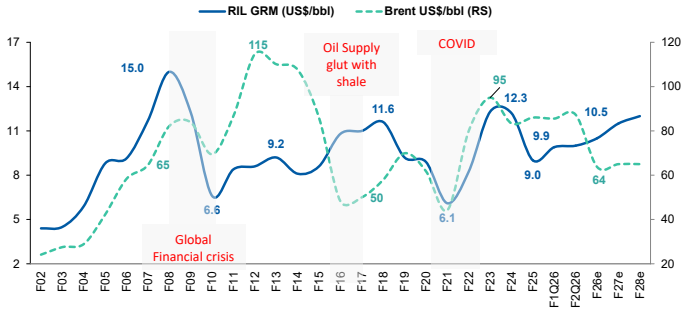
The Refining Golden Age and RIL's Upside

Exhibit 17: Global refining cycle: incremental demand of ~2mbpd over the next three years compared to <1mnbpd capacity growth highlights the tightening supply dynamics for the industry



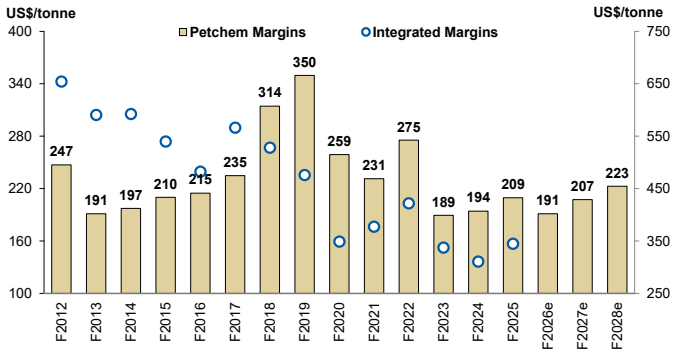
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 18: RIL: The refining cycle in perspective



Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 19: Global anti-involution activity should support incrementally better margins in chemicals



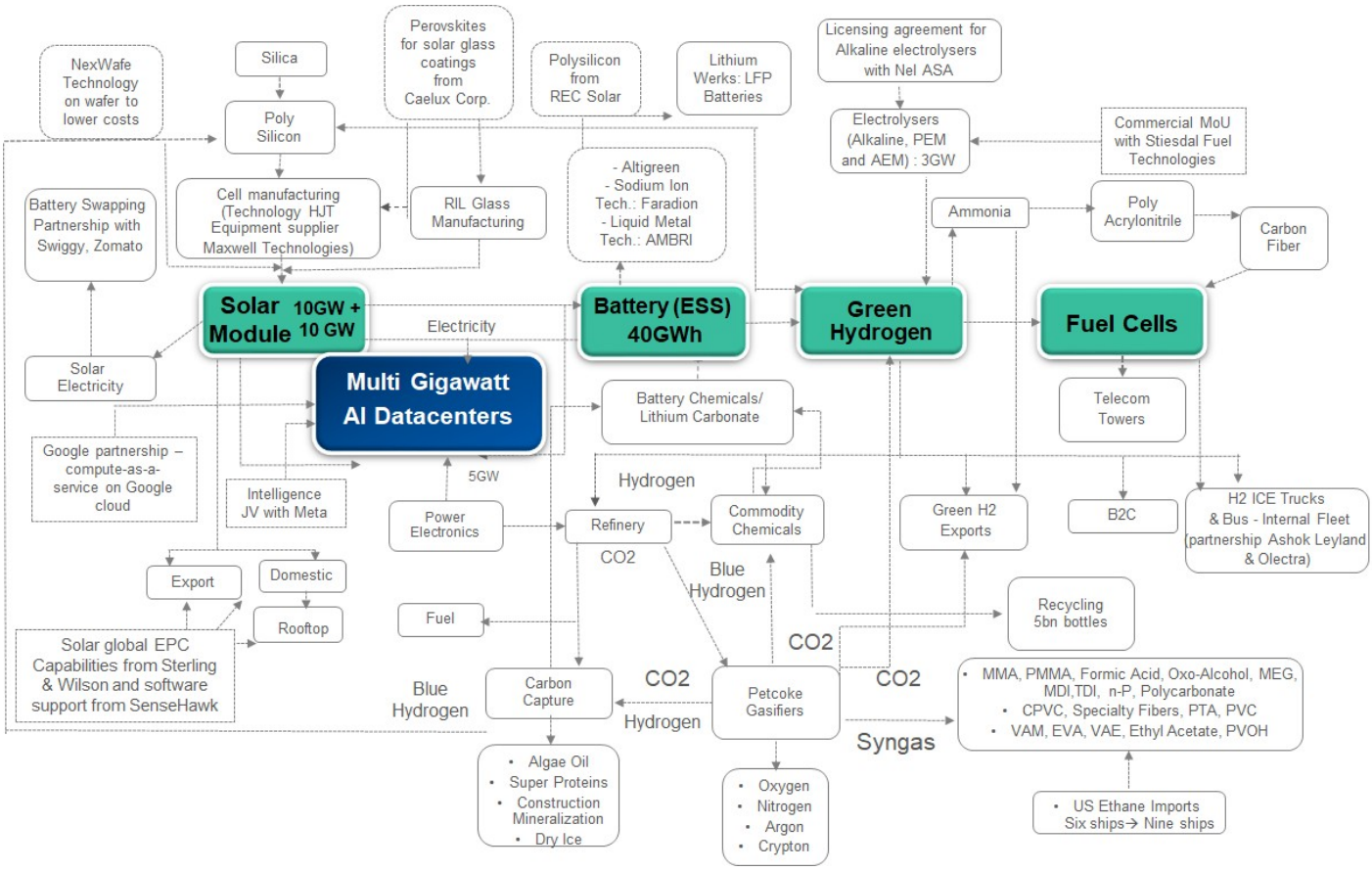
Source: Company data, Morgan Stanley Research (e) estimates

AI Integration: Will It Be Accretive to Returns?

RIL's ability to integrate its multi-data center capacity, lean power buildout, deepening partnerships with hyperscalers, and access to ~500 million subscribers is beginning to converge into a cohesive AI infrastructure strategy. Our AI economics for RIL – based on a GPU-as-a-Service (rather than TPU-led) model – suggest an 11% ROCE on a potential US $12–15bn investment for every gigawatt of GenAI data center capacity added (see Reliance Industries: The AI Math). While disclosures remain limited, we believe RIL Intelligence could reasonably be valued at a minimum of 2x forward P/B, in line with global peers (see Powering AI).

We estimate that RIL will deploy US$12-15bn to construct a 1GW AI data center, allocating roughly 25% of capacity for internal use while commercializing the remaining portion as a "Data center-as-a-Service" platform for hyperscalers and LLM developers under the RIL Intelligence umbrella (RIL Intelligence). The initial 100MW module, expected to scale over the next two years, will address enterprise inference workloads through hyperscaler partnerships, supported by RIL's 20GW+ clean-power pipeline and its fully integrated energy-AI development strategy. (RIL: Anti-Involution All Around).

Exhibit 20: New energy + AI integration: critical to the next phase of value creation



Source: Company data, Morgan Stanley Research

Exhibit 21: AI DC infra+ inference economics

100MW Economics (US$ mn)	
Revenue	822
Cost of Power	(71)
Cost of Water	(3)
Operating Costs	(5)
EBITDA	**743**
Powered shell Depreciation	(70)
GPU Depreciation	(339)
Operating Income	**334**
Interest Cost	(55)
PBT	**279**
Tax	(56)
Net Profit	**223**
ROCE	**12.2%**
ROE	**16.3%**

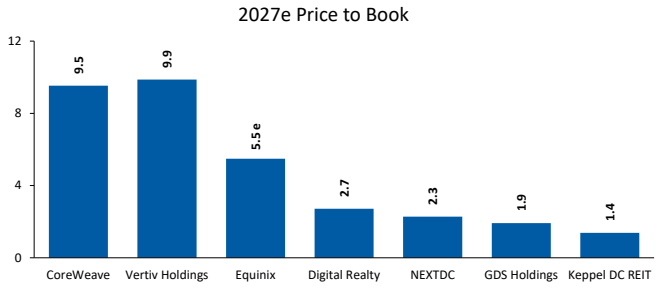
Source: Morgan Stanley Research estimates

Exhibit 22: RIL: ROE Sensitivity to price per million tokens (assuming sharing with LLM provider) and cost of renewable power

Price per 1M tokens (US$)	Cost of Power (US$/MWh)				
	50	65	80	90	100
1.2	19.4%	18.9%	18.4%	17.9%	17.3%
1.4	25.2%	24.7%	24.2%	23.7%	23.2%
1.7	28.9%	28.3%	27.8%	27.3%	26.8%
1.9	32.5%	32.0%	31.5%	30.9%	30.4%
2.2	39.8%	39.2%	38.7%	38.2%	37.7%

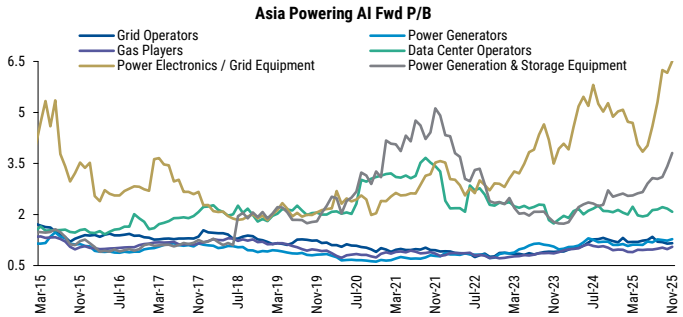
Source: Morgan Stanley Research estimates

Exhibit 23: Reliance's discount mirrors its capital-heavy base but narrows as digital and retail ROEs expand



Source: Refinitiv, Morgan Stanley Research (e) estimates

Exhibit 24: Asia powering AI beneficiaries have re-rated ~35% on average since January 2024



Source: Refinitiv, Morgan Stanley Research

RIL: Valuation Methodology

We remain OW on Reliance Industries with a price target of Rs1,847/share (up from Rs1,701/share) as we roll our valuation forward one year to F28 and increase our earnings estimates 1-4% for F2e- F28. In RIL's fourth monetisation cycle, this time we expect investments over US$80bn to be monetised starting from 2026. We also mark our estimates to market and update our numbers for the latest management commentary.

We expect an 12% earnings CAGR over F25-28e, largely driven by a tight refining cycle, global involution in chemicals, ramp-up in new energy, and monetisation of retail and digital investments. Our earnings estimates rise slightly: 1.2%, 3.5% and 2.0% for F26, F27, and F28, respectively – our new EPS estimates are Rs54.1, Rs64.3, and Rs71.8.

Our valuation methodology is unchanged. We break down our valuation methodology for RIL below:

- We value the petrochemical and refining businesses at F28e EV/EBITDA of 8x (unchanged) and 7.5x, respectively (unchanged), in line with global peers. RIL is an integrated refining and petrochemical player with operating assets similar to those of global peers; hence, we expect it to trade in line with them. For the domestic E&P operations, we use a F28e EV/EBITDA of 4.0x (vs. 5.0x previously) to reflect oversupplied oil and gas markets and in line with global peers.
- Our retail business F28e EV/EBITDA multiple of ~30x (vs. 32x previously reflects industry peer multiples.
- We value RIL's 66.43% stake in digital investments at an implied EV/EBITDA multiple. We apply F28e (unchanged) target multiple of 13x (unchanged) to reflect higher peer multiples.
- We value Media assets at 12x (in line with peers) F28e EV/EBITDA.
- We value RIL's new energy business at US$20bn, implied EV/IC at ~2.5x (reduced from US$25bn) as execution in investments in solar supply chain has commenced, albeit at a slower pace.
- We use F26 net debt.

Our bull case value is Rs2,246/share. The valuation methodology remains unchanged and we see upside risks from new AI infrastructure investments. Our bear case value of Rs1,414/share assigns no value to the Media assets; our valuation methodology remains unchanged.

Exhibit 25: RIL Price Target Calculation

SoTP	F28e EBITDA		Multiple	EV (US$mn)	Rs/Share
Petrochemicals	3,385	EV/EBITDA	8.0x	27,080	180
Refining+ Marketing	5,169	EV/EBITDA	7.5x	38,770	258
Domestic E and P	1,570	EV/EBITDA	4.0x	6,279	42
Retail (82%)	*3,922*	EV/EBITDA	30x	95,976	638
Media@63.16%	626		12.0x	7,500	50
Jio Platforms @66.43%	7,993	EV/EBITDA	13.0x	104,056	692
New Energy	735			20,000	133
Net Debt FY26 (including spectrum liabilities)				21,902	146
Fair Enterprise Value				**270,259**	**1,847**

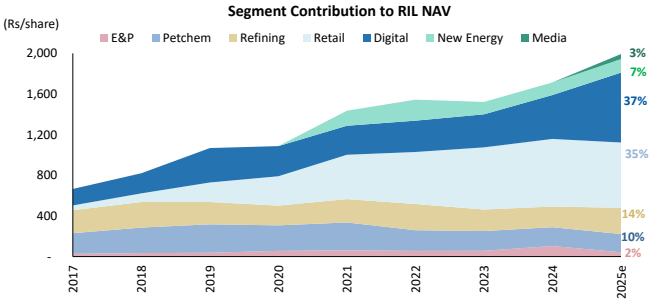
Source: Morgan Stanley Research estimates

Exhibit 26: Reliance: What's Changed

Reliance Industries			
FX	**FY26e**	**FY27e**	**FY28e**
New	88.0	90.0	90.0
Old	87.0	87.0	88.0
% Change	**1%**	**3%**	**2%**
JPL EBITDA (Rs Bn)	**FY26e**	**FY27e**	**FY28e**
New	769	938	1,083
Old (Digital + Telecom)	765	928	1,061
% Change	**1%**	**1%**	**2%**
Refining Margins ($/bbl)	**FY26e**	**FY27e**	**FY28e**
New	10.5	11.5	12.0
Old	10.3	11.3	11.0
% Change	**2%**	**2%**	**9%**
Refining EBITDA (Rs Bn)	**FY26e**	**FY27e**	**FY28e**
New	363	423	436
Old	348	398	383
% Change	4%	6%	14%
Consol EBITDA (Rs Bn)	**FY26e**	**FY27e**	**FY28e**
New	1,849	2,195	2,466
Old	1,824	2,121	2,351
% Change	**1.4%**	**3.5%**	**4.9%**
Consol EPS	**FY26e**	**FY27e**	**FY28e**
New	54.1	64.3	71.8
Old	53.5	62.1	70.3
% Change	**1.1%**	**3.5%**	**2.1%**

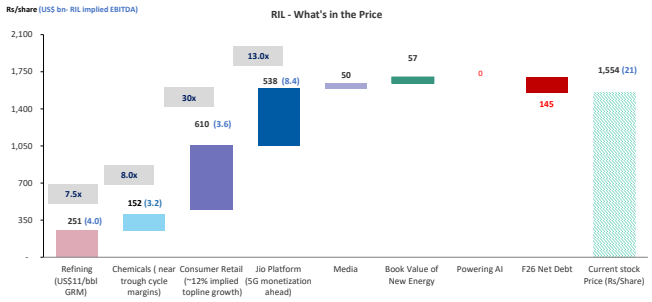
Source: Morgan Stanley Research estimates

Exhibit 27: Energy (O2C, E&P and New Energy), retail, and digital segments largely contribute equally to RIL's SOTP



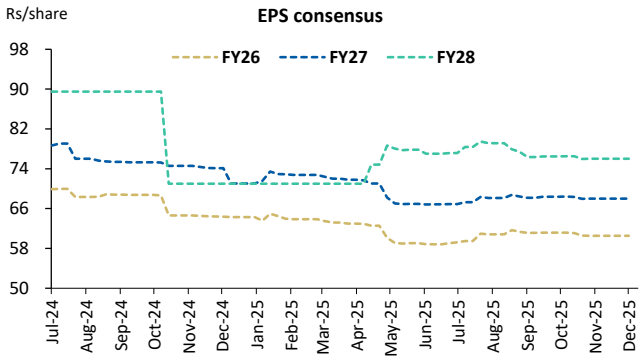
Source: Morgan Stanley Research, Morgan Stanley Research (e) estimates

Exhibit 28: RIL: What's in the price



Source: Morgan Stanley Research estimates

Exhibit 29: RIL: Street expectations are starting to rise



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Reliance Industries (RELI.NS) Top Pick

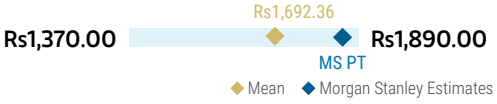
Monetisation 4.0

PRICE TARGET Rs1,847.00

Base case, sum of the parts:

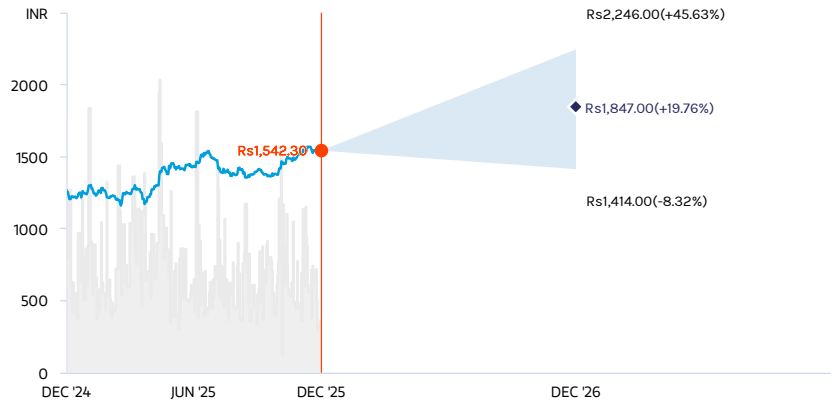
- Petrochemicals and Refining: 8x and 7.5x F28e EV/EBITDA, respectively, in line with global peers
- Retail: 30x F28e EV/EBITDA, in line with peers
- Domestic E&P: 4x F28e EV/EBITDA
- Jio Platform: 13x F28e EV/EBITDA
- Media: 12x F28e EV/EBITDA
- New energy investments valued at US$20bn enterprise value

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

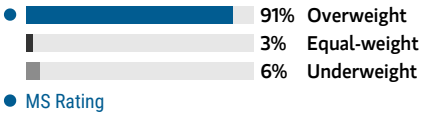
■ Refining's "Golden Age" will keep GRMs above mid-cycle while petchem margins improve from global anti-involution activities, increased US ethane intake, and capacity expansion.

■ Consumer brands, quick commerce, and normalised store expansion should drive Reliance Retail's top-line growth at 17%, alleviating investor concerns.

■ ARPU to grow 9% organically in F26-28e, supported by quality subscriber base, new offerings (5G + AI), and enterprise solutions.

■ Reliance enters Monetisation 4.0, with 12% earnings growth in F25-28e and incremental 200+bps ROCE. This time, all verticals turn FCF-positive, with FCF redeployed on new growth frontiers – AI infrastructure, energy storage, and polysilicon.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	*Positive*
Pricing Power:	*Positive*
Renewable Energy:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE Rs2,246.00

34.9x F2027e EPS

1) O2C margins higher than base case as new supply defers and cycle gets tighter

2) Faster ramp-up in New Energy and monetisation of AI-powered enterprise solutions by 2027

3) Quick pickup in e-commerce

4) Monetization of digital business

BASE CASE Rs1,847.00

28.7x F2027e base case EPS

1) Core gross refining margin (GRM) of US$12/bbl in F28; petrochemical EBITDA margins rise at US$260/ton - i.e., above mid-cycle

2) Investments of ~US$16bn annually for the next three years

3) US$20bn EV for new energy business.

4) Telecom ARPU at Rs252/month in F28 as lower-priced plans are rationalised and ramp in 5G penetration

5) Retail EBITDA CAGR of 12% over F25-28e as RIL increases nimbleness in execution on fashion, electronics, and consumer brands

BEAR CASE Rs1,414.00

22.0x F2027e EPS

1) Refining margin at ~US$10/bbl and below mid-cycle chemical margins.

2) Increased competitive intensity to keep ARPU stable

3) Higher cash burn in new energy business

Risk Reward – Reliance Industries (RELI.NS)

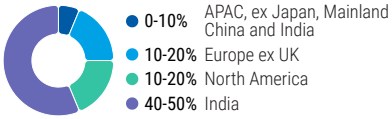
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
GRM ($/bbl)	9.0	10.5	11.5	12.0
Refining Throughput (mmt)	68.2	67.9	68.2	68.2
Petrochemical EBITDA Margins per ton (Rs)	17,701	16,833	18,668	20,043
ARPU (Rs)	196	213	236	252
Retail Revenues (Rs, mn)	2,921,090	3,405,660	3,947,387	4,559,006

INVESTMENT DRIVERS

- Capital allocation, execution, and deleveraging
- New energy offering and chemicals cycle repair

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

4/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Tightening global refining and chemical markets with supply-side reforms and anti-involution in China
- Rising market share, broadband subscribers and reduced competitive intensity in telecom
- Strong execution in New Energy.

RISKS TO DOWNSIDE

- Slower recovery in consumer retail top-line growth as RIL struggles to improve traction in fashion
- Technology shifts in new energy, leading to higher investment capex.

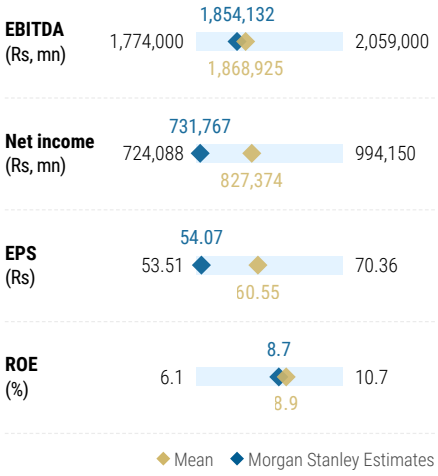
OWNERSHIP POSITIONING

Inst. Owners, % Active 77.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2026e



Source: Refinitiv, Morgan Stanley Research

RIL: Financial Summary

Exhibit 30: Financial Summary

Income Statement

Rs bn (Year-end March)	F2025	F2026E	F2027E	F2028E
Gross Revenue	11931	9460	10354	11483
Less: Excise Duty	1065	1116	1227	1361
Less: Intersegment Transfer	1219	842	953	963
Net Revenue	**9647**	**7502**	**8175**	**9158**
Cost of Goods Sold	8000	5654	5980	6692
Consol. EBITDA	**1647**	**1849**	**2195**	**2466**
EBITDA: Segmentwise Breakup				
Refining	279	363	423	436
Petchem	271	254	284	305
New Energy(for internal use)	0	0	22	66
Domestic E&P	211	147	147	141
Retail	251	263	310	353
Telecom	603	708	863	986
Digital Services	39	61	75	97
Media		60	78	89
Others/Unallocable	-6	-8	-8	-7
Depreciation	531	610	687	778
EBIT	**1115**	**1239**	**1508**	**1689**
Other Income	188	209	210	210
Interest Expense	243	286	313	298
Net finance Cost/(Income)	55	77	104	88
Pre-tax Profit	**1060**	**1162**	**1404**	**1600**
Total Taxes	252	294	358	420
Consol PAT: Group	**808**	**868**	**1046**	**1180**
Share of profit/(loss) of associate	5	5	5	5
Minority interest	-117	-141	-181	-213
Consol PAT: Recurring	**696**	**732**	**870**	**972**
Extra Ordinaries Gain/ (loss) - after tax	-	89	-	-
Consol PAT: Reported	**696**	**821**	**870**	**972**
Effective Tax Rate	24%	25%	26%	26%
PAT Break-up				
Standalone	516	464	540	612
Shale Gas Profits	0	0	0	0
Retail	124	127	157	187
Digital	248	279	355	417
Media		33	45	53
Others	-80	-34	-51	-90
Consolidated	**808**	**868**	**1046**	**1180**

Cash flow Statement

Rs bn (Year-end March)	F2025	F2026E	F2027E	F2028E
Profit after tax	696	821	870	972
Add : Depreciation and Def Tax	531	610	687	778
Cash flow from operations	**1228**	**1431**	**1557**	**1750**
Changes in Working Capital	285	40	77	19
Changes in Minority Interest	341.2	141.4	180.7	212.7
Extraordinary items	375	-14	-13	-13
Net cash from operations	**2229**	**1598**	**1802**	**1970**
Capital Expenditure	**-1865**	**-1289**	**-1499**	**-1566**
Sale of Investments	-39	-200	0	0
Net cash from Investing	**-1904**	**-1489**	**-1499**	**-1566**
Increase in debt	229	-29	-169	-306
Dividends	-74	-82	-87	-97
Other Changes	-134	3	-48	0
Changes to Sh. Equity	-125	0	0	0
Cash from financing activities	**-104**	**-109**	**-303**	**-404**
Net Inc/(Dec) in Cash	221	0	0	0

Balance Sheet

Rs bn (Year-end March)	F2025	F2026E	F2027E	F2028E
Equity Share Capital	135	135	135	135
Reserves & Surplus	8297	9036	9819	10694
Shareholder's equity	8432	9171	9954	10829
Minority	1664	1806	1986	2199
Gross Debt	3475	3446	3277	2971
Deferred Tax Liability	835	835	835	835
Provisions	283	269	255	243
Deferred Spectrum Liability	1044	1047	1000	1000
Total Liabilities	**15733**	**16573**	**17307**	**18076**
Application of Funds				
Gross Fixed Assets	13750	15573	18039	19820
Less: Depreciation	4001	4611	5298	6076
Add: Capital WIP	2624	2090	1122	907
Net Fixed Assets	**12372**	**13052**	**13863**	**14651**
Investments	1184	1384	1384	1384
Cash & Cash Equivalents	2304	2304	2304	2304
Current Assets	3395	2071	2108	2102
Inventories	1461	1002	1075	1115
Receivables	421	441	472	486
Loans & Advances	59	47	38	30
Other Current Assets	1454	582	523	471
Less: Current Liabilities	3768	2484	2598	2612
Net Current Assets	**-373**	**-413**	**-490**	**-510**
Total Assets	**15733**	**16573**	**17307**	**18076**

Ratio Analysis

(Year-end March)	F2025	F2026E	F2027E	F2028E
Standalone EPS	38.2	34.3	39.9	45.2
Consolidated EPS	51.5	54.1	64.3	71.8
Modelware EPS	51.5	54.1	64.3	71.8
Cash EPS	90.7	99.1	115.1	129.3
Book Value	637	693	752	818
Dividends	5.5	6.1	6.4	7.2
P/E(Consolidated)	25.3	28.7	24.1	21.6
EV/EBITDA	11.8	12.3	10.2	9.0
Price/ Cash	8.3	7.6	6.5	5.8
Dividend Yield	0.4%	0.4%	0.4%	0.5%
FCF Yield	0.2%	0.9%	1.1%	1.9%
Price Book	2.0	2.2	2.1	1.9
Return Ratios				
ROE	8.5%	8.3%	9.1%	9.4%
ROCE	8.3%	8.7%	9.9%	10.5%
Net margin	8.4%	11.6%	12.8%	12.9%
Asset turnover	0.6	0.5	0.5	0.5
Leverage				
Net debt/equity	0.26	0.24	0.20	0.15
Debt/equity	0.5	0.5	0.4	0.4
Net Debt (incl. Spectrum Liabilities)/EBIDTA	1.4	1.2	0.9	0.7
Key Assumptions				
INR/USD	84.5	88.0	90.0	90.0
GRMs	**9.01**	**10.50**	**11.50**	**12.00**
Core GRM	8.0	9.0	10.0	10.0
PGP Benefit	1.0	1.5	1.5	2.0
Subscribers - Avg. Wireless	470	485	506	525
Blended ARPU	196	213	236	252
Retail EBITDA- Margin	8.6%	7.7%	7.9%	7.7%
Revenue/sqft	37,330	42,892	45,687	47,293
EBITDA/sqft	3,202	3,315	3,592	3,662

Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of November 30, 2025)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1501	41%	389	46%	26%	661	41%
Equal-weight/Hold	1608	44%	379	44%	24%	736	46%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	567	15%	83	10%	15%	212	13%
Total	3,680		852			1610	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Stock Rating History: 12/1/20 : O/I; 10/21/22 : NA/I; 3/31/23 : NA/I; 5/3/23 : NA/I; 7/12/23 : O/I

Price Target History: 8/31/20 : 1123.5; 1/25/21 : 1126; 5/3/21 : 1131; 7/26/21 : 1134.5; 10/5/21 : 1462.5; 1/24/22 : 1463; 4/20/22 : 1626.5; 7/25/22 : 1507.5; 9/4/22 : 1542.5; 10/21/22 : NA; 7/12/23 : 1605; 7/24/23 : 1500; 8/17/23 : 1410.5; 1/22/24 : 1523; 7/1/24 : 1770; 7/22/24 : 1708.5; 8/16/24 : 1708; 10/8/24 : 1662.5; 10/28/24 : 1662; 1/21/25 : 1606; 4/28/25 : 1617; 7/21/25 : 1602; 9/2/25 : 1701

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: India Oil & Gas

COMPANY (TICKER)	RATING (AS OF)	PRICE* (12/16/2025)
Mayank Maheshwari		
Bharat Petroleum Corp. (BPCL.NS)	O (10/02/2019)	Rs368.15
GAIL (India) (GAIL.NS)	O (09/19/2017)	Rs168.32
Gujarat Gas Ltd (GGAS.NS)	O (01/06/2023)	Rs386.45
Gujarat State Petronet Ltd (GSPT.NS)	U (09/12/2025)	Rs281.80
Hindustan Petroleum (HPCL.NS)	O (11/08/2023)	Rs465.35
Indian Oil Corp (IOC.NS)	O (12/10/2018)	Rs167.74
Indraprastha Gas Ltd. (IGAS.NS)	E (01/30/2025)	Rs183.42
Mahanagar Gas Ltd (MGAS.NS)	O (01/13/2025)	Rs1,112.90
Oil & Natural Gas Corp. (ONGC.NS)	O (09/20/2021)	Rs232.21
Oil India Limited (OILI.NS)	O (06/16/2022)	Rs401.70
Petronet LNG (PLNG.NS)	E (04/13/2023)	Rs264.70
Reliance Industries (RELI.NS)	O (07/12/2023)	Rs1,542.30
Vivek Rajamani		
Aarti Industries Limited (ARTI.NS)	U (09/03/2024)	Rs372.50
Deepak Nitrite Ltd (DPNT.NS)	O (05/03/2024)	Rs1,595.40
Navin Fluorine International Ltd. (NAFL.NS)	U (11/05/2025)	Rs6,030.00
PI Industries Ltd. (PIIL.NS)	O (06/16/2025)	Rs3,259.30
SRF Limited (SRFL.NS)	U (10/24/2024)	Rs3,015.70
Tata Chemicals Limited (TTCH.NS)	O (07/29/2025)	Rs755.90

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